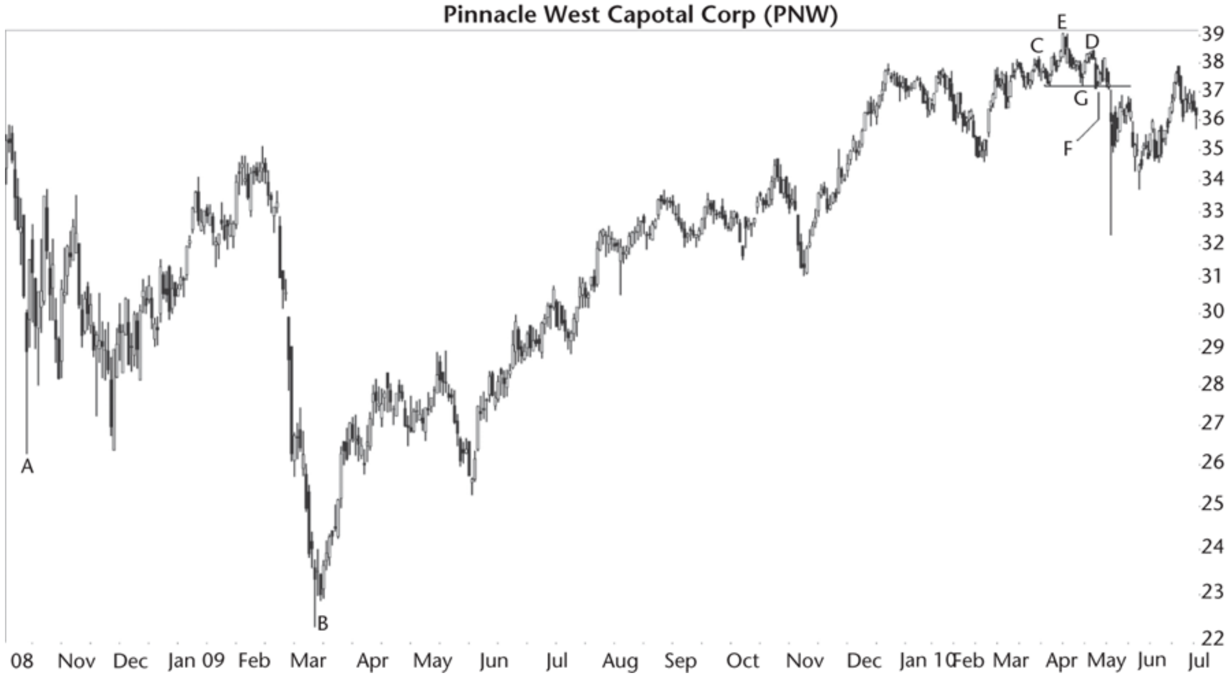

Figure 41.6 Bulkowski avoided watching profit disappear when this head-and-shoulders appeared.

I sold and made 41% on the trade, but that includes dividends that can be hefty from a utility stock. I sold at 37.26 and avoided the one-day plunge to 32.31, a drop 13% below my sale price. I was right to hang onto the remainder of my position, though. It peaked at 73.31 in January 2015 when it reached the ultimate high. That's double what I sold part of my position for.

- Lesson: Sometimes a bearish pattern in a bull market doesn't send price much lower.

iShares U.S. Basic Materials

Twice I traded busted head-and-shoulders tops with disappointing results. I jumped into iShares U.S. Basic Materials ETF (IYM), an exchange-traded fund, as it materialized out of the 2009 bear market and sold it almost a year later. If I had traded it perfectly, I would have made 33%. Instead I sold at the exact bottom of a retrace, the day before the fund started its long recovery. I made a small profit but missed out as the fund soared.

Don't you hate it when you sell before a security rises?